



UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education
Advanced Subsidiary Level and Advanced Level

ECONOMICS

Paper 1 Multiple Choice (Core)

9708/12**October/November 2013****1 hour**

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, highlighters, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO NOT WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Larak Mushtaq

Solved with reasons

This document consists of **11** printed pages and **1** blank page.

2

- 1 'From the age of twelve I made a living by buying towels, needles, shampoo and soap and re-selling them as a street vendor. Now, I run three hotels in Hanoi' - Duong Than Binh.

AU

Which factors of production are likely to be involved in the above events?

- A land only
 B land and labour only
 C land, labour and capital only
☒ D land, labour, capital, enterprise

Because of scarcity, need of choice arises and that is represented through the concept of opportunity cost.

- 2 What is the correct order of these economic concepts?

A	B	C	☒ D
inevitability of choices	opportunity costs	opportunity costs	scarce resources
↓	↓	↓	↓
opportunity costs	inevitability of choices	scarce resources	inevitability of choices
↓	↓	↓	↓
scarce resources	scarce resources	inevitability of choices	opportunity costs

key
 ↓ = leads to

- 3 A farmer can produce both beef and lamb. The opportunity cost of a kilo of beef is three kilos of lamb. The price of a kilo of beef is twice that of lamb.

What should he do if his aim is to maximise his revenue?

- A concentrate on beef production
☒ B concentrate on lamb production
 C produce beef and lamb in the ratio 3:2
 D produce twice as much beef as lamb

$$\begin{array}{rcl}
 1B & : & 3L \\
 2 & : & 1 \\
 \hline
 2 & & 3
 \end{array}
 \begin{array}{l}
 \text{Qty} \\
 \text{Price} \\
 TR = P \times Q
 \end{array}$$

- 4 What advantage do banknotes (paper money) have over coins (metallic money)?

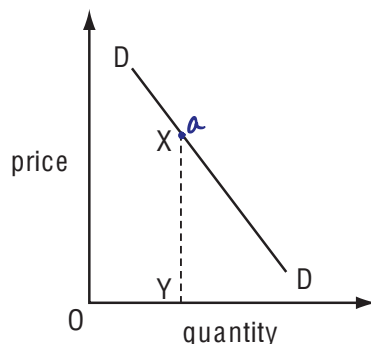
- ☒ A They are cheaper to produce.
 B They are more useful for low value transactions.
 C They are the only form of legal tender.
 D They have greater intrinsic value.

It refers to that money which is in the form of paper currency notes issued by the government of the country. It refers to money which is made of metals like gold, silver, copper, etc. Paper money is comparatively more portable but less durable. Metallic coins are comparatively less portable but more durable.

3

A2 concept

5 The diagram shows an individual's demand curve.



What does XY measure?

→ Area below the demand and above price level

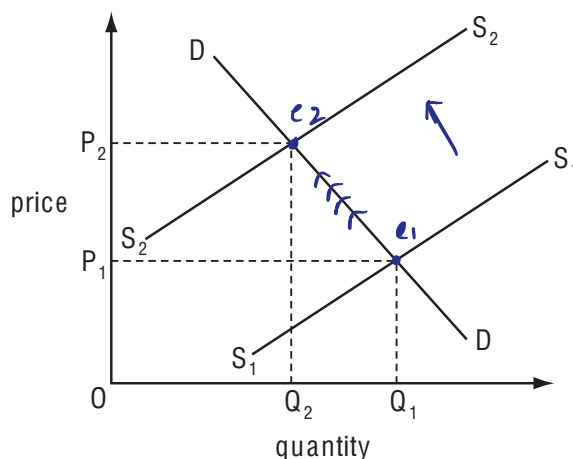
A the consumer surplus derived by the individual from the last unit consumed

B the equilibrium price of the good ($D=S$)

C the quantity demanded by the individual at any given price (only asked for vertical distance)

D the value of the individual's marginal benefit from the last unit consumed

6 The diagram represents the market for diamonds.



What could have caused price to change from P_1 to P_2 ?

A a fall in the price of substitute gems Demand factor

B a fall in the tax on diamonds Supply ↑

C a rise in the productivity of diamond miners Supply ↓

D a rise in the wages of diamond miners
cost ↑ Supply ↓

7 How is the market supply of a product in a competitive market obtained?

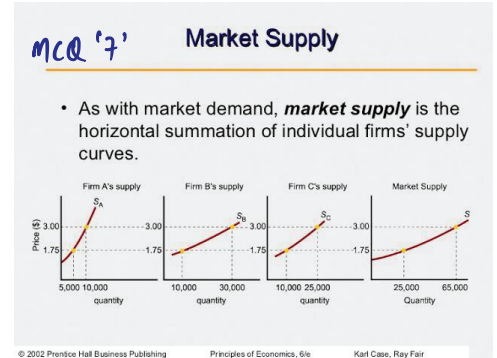
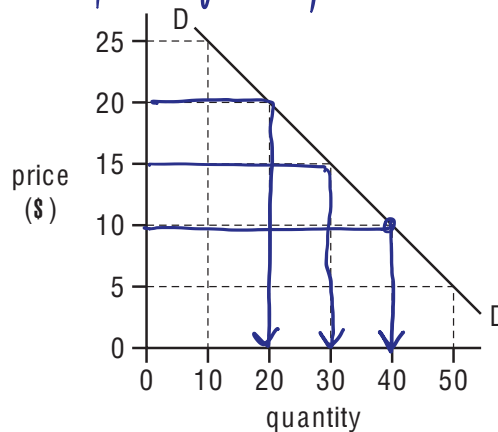
- ☒ A by aggregating the supply of all firms producing the product
- B by averaging the supply of all firms producing the product
- C by calculating the supply of the typical firm producing the product
- D by estimating the supply of the largest firm producing the product

The market supply is the total quantity of a good or service all producers are willing to provide at the prevailing set of relative prices during a defined period of time. The market supply is the sum of all individual producer supplies.

8 The diagram shows the demand for a product for which there are only three buyers, Freeman, Hardy and Willis.

* Table is of 2 buyers
* Total - 2 $\Rightarrow$ last one

* Diagram of 3 buyers



The table shows the demand from two of the three buyers.

price (\$)	Freeman's demand	Hardy's demand
10	24	6 = 30
15	15	5 = 20
20	6	4 = 10

Qty unchanged

↑
Willis

Total
40
30
20

Which statement about the demand for the product from Willis is correct?

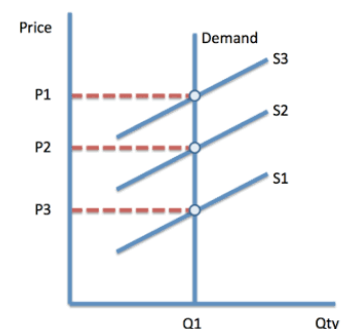
- A It has unitary price elasticity of demand. $PED = 1$, no, Qty unchanged
- B It is a downward sloping straight line demand curve. no, Qty unchanged
- C It is a perfectly elastic demand curve. $PED = \infty$, Price unchanged
- ☒ D It is a perfectly inelastic demand curve.

A perfectly inelastic demand is a demand where the quantity demanded does not respond to price.

Perfectly Inelastic Demand ($PED = 0$)

If the co-efficient of price elasticity of demand = zero, demand is perfectly inelastic i.e. demand does not vary with a change in price

- A perfectly inelastic demand curve is an extreme case for it implies that consumers are willing and able to pay any price for the product. If supply falls, equilibrium market price can rise without any contraction in the quantity demanded

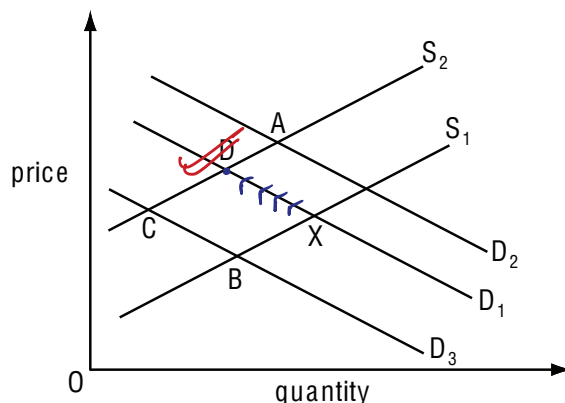


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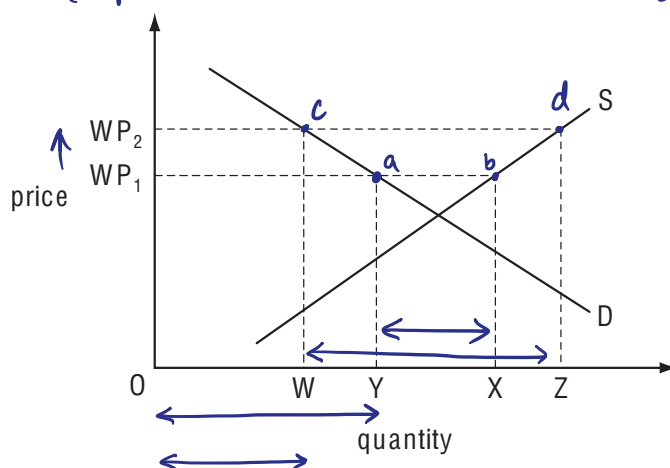
- 9 The diagram shows the demand and supply curves for tractors. The present equilibrium point is at X.

What could be the new equilibrium if the government were to tax the country's tractor manufacturers?

Indirect tax ↑
Supply ↓



- 10 The diagram shows a country's domestic supply of, and demand for, a commodity that it both consumes and exports. (surplus)



* Consider the concept of minimum price

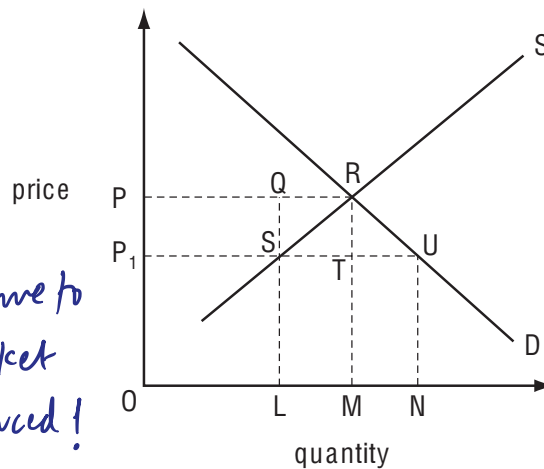
The world price changes from WP_1 to WP_2 .

What are the resulting changes in domestic consumption and exports?

	domestic consumption	quantity of exports
A	OX to OZ	OY to OX
B	OX to OZ	OY to OZ
C	OY to OW	<u>YX to WZ</u>
D	OY to OW	YX to OZ

Prices ↑ Qty demand ↓
OY to OW

- 11 The diagram shows the market for sugar which is in equilibrium at a price of OP .



For quantity 'L', they have to pay less price than market price, thus expenditure reduced!

A government then fixes a maximum price of OP_1 .

What will happen as a result?

- A** an increase in consumer surplus equal to $PRUP_1$ (Area 1+2, see lecture)
B a reduction in expenditure by people who still buy sugar equal to $PQSP_1$
C a reduction in farmers' receipts equal to $QRML$ (reduction was $P_1, PRML$)
D farmers' receipts would be $PQLO$ (TR is OP_1SL)

Willing to pay!

- 12 A consumer needed a new camera and a new armchair. She was prepared to spend \$500 on one item. She discovered that the camera cost \$450 and the armchair \$500. She bought the camera. $\Rightarrow \$450$

What was her opportunity cost and her consumer surplus?

spent \$450

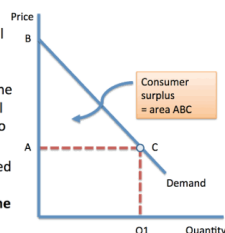
	opportunity cost	consumer surplus
A	the armchair ✓	\$50 ✓
B	the armchair ✓	\$500
C	\$50	\$450
D	\$450	\$50

What is Consumer Surplus?

C.S $\Rightarrow \$50$

Consumer surplus is a measure of the economic welfare that people gain from purchasing and then consuming goods and services

- Consumer surplus is the difference between the total amount that consumers are willing and able to pay for a good or service (shown by the demand curve) and the total amount that they actually do pay (i.e. the market price).
- Consumer surplus is indicated by the area under the demand curve and above the market price.



- 13 In which set of circumstances will prices play no part in determining how resources are allocated between alternative uses but may still have a role as a rationing mechanism?

- (ineffective) **A** The government sets maximum prices for all goods above their market clearing price.
 (ineffective) **B** The government sets minimum wages for all workers below the market rates of pay.
C The quantities of consumer goods produced are determined by the government.
D The total income consumers have available to spend is fixed by the government.

Role of price mechanism

Private sector

government action

Only government actions

- 14 The table shows the expected costs and benefits from four government projects. The government can afford only one project.

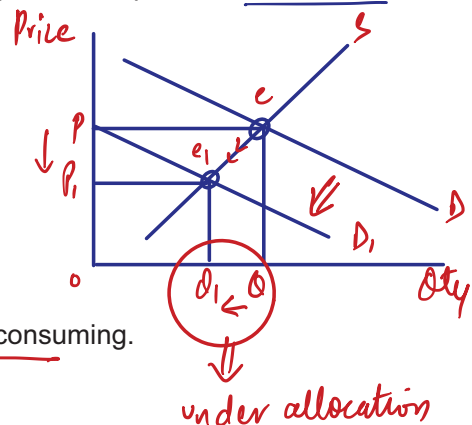
Which project should the government choose? $SB > SC$

	private benefits (\$m)	external benefits (\$m) SB	private costs (\$m)	external costs (\$m) SC	$Net\ SB = SB - SC$
A	40	200 240	60	70 130	110 (Highest)
B	60	160 220	100	20 120	100
C	100	210 310	100	120 220	90
D	150	90 240	120	140 260	-20

External benefit / concept of merit goods

- 15 What will be the result, from society's view, if the market price for a product does not reflect the positive externalities in its production?

- $\uparrow$ Lack of information
- ~~A~~ too little consumption and too little production
- B too little consumption and too much production
- C too much consumption and too little production
- D too much consumption and too much production



- 16 A good is produced which consumers are unable to avoid consuming.

What type of good is this?

- A demerit good
- B inferior good
- C private good
- ~~D~~ public good (Non-rival, non-excludable, non-rejectable)
- Private good
Price attached, thus rejectable
- [Remember the definition]

- 17 A government introduces a subsidy to reduce the price of heating oil, maximum rents for apartments and a national minimum wage rate.

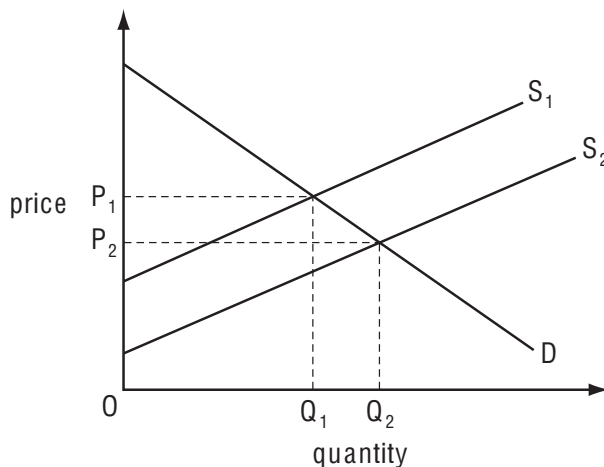
Who is meant to benefit from each of these?

	heating oil market	apartment market	labour market
A	consumers ✓	landlords	employers
B	consumers ✓	tenants ✓	workers ✓
C	producers	landlords	workers ✓
D	producers	tenants ✓	employers

$P \downarrow Q \uparrow$
(consumers)

$\downarrow$
tenants
(Low price)

- 18 In the diagram, D is the demand curve for a commodity. S_1 and S_2 are the supply curves before and after an intervention by the government.



What action has the government taken?

- ☒ A It has given producers a subsidy to encourage greater output. *cost ↓, Supply ↑*
☐ B It has given a subsidy to consumers. *Can't be*
☐ C It has imposed a tax equal to $P_1 - P_2$ to discourage production. *Supply ↓*
☐ D It has purchased a quantity $Q_2 - Q_1$ for government use. *No surplus indicated*

- 19 The table shows the ability of two countries, P and Q, to produce two goods, Y and Z.

Absolute :- Quantity
↓
Country Q in both goods

	production of good Y per person	production of good Z per person
country P	1000	1600
country Q	1500	2000

Country P *Country Q*
Y : Z *Y : Z*
1000 : 1600 *1500 : 2000*
1 : 1.6 *1 : 1.33*

Which statement is correct?

- ☐ A P has an absolute advantage in Z and Q has a comparative advantage in Y. *NO*
☐ B P has an absolute advantage in Z and Q has an absolute advantage in Y. *NO*
☒ C P has a comparative advantage in Z and Q has an absolute advantage in Y. *YES*
☐ D P has a comparative advantage in Y and Q has an absolute advantage in Z. *in Z*

Country 'P' in good Z, comparative advantage
Country 'Q' in good Y, comparative advantage

- 20 What is the least likely outcome for participating countries of a move towards freer trade?

- ☐ A greater international specialisation
☐ B greater product choice
☐ C higher standards of living
☒ D more equal distribution of income

Features of freer trade

↓
Specialization
↓
free trade vs Protectionism

↳ Macro objective
↳ linked with taxation
(Progressive, Regressive, Proportional)

A free trade area (FTA) is where there are no import tariffs or quotas on products from one country entering another. Examples of free trade areas include: EFTA: European Free Trade Association consists of Norway, Iceland, Switzerland and Liechtenstein. NAFTA: United States, Mexico and Canada (being renegotiated)

A customs union is generally defined as a type of trade bloc which is composed of a free trade area with a common external tariff. Customs unions are established through trade pacts where the participant countries set up common external trade policy (in some cases they use different import quotas).

- 21 A country joins a trade organisation, where the only requirements are that members must have identical tariff rates towards non-members and no trade barriers to fellow members.

With which possible change in status for the country is this condition consistent?

- A from independent trade to membership of a free trade area
 B from membership of a customs union to membership of an economic union
☒ C from membership of a free trade area to membership of a customs union
 D from membership of a free trade area to membership of an economic union

- 22 In Australia in 2005 a shipload of exported iron ore paid for 2200 imported flatscreen TVs. In 2010 the same size shipload paid for 22 000 imported flatscreen TVs.

Which combination of price changes is certain to cause this change in the terms of trade of Australia?

	average export price	average import price
A	decrease	decrease
B	decrease	increase
☒ C	increase	decrease
D	increase	increase

Paid more than before
 $\downarrow$
 $X \text{ prices} \uparrow$
 $M \text{ prices} \downarrow$
 $ToT = \frac{X \text{ prices}}{M \text{ prices}} \times 100$

- 23 A country has a population of 500 million. 15 million people are unemployed and the country has an unemployment rate of 6%.

What is the size of the labour force? $\Rightarrow$ Employed + Unemployed

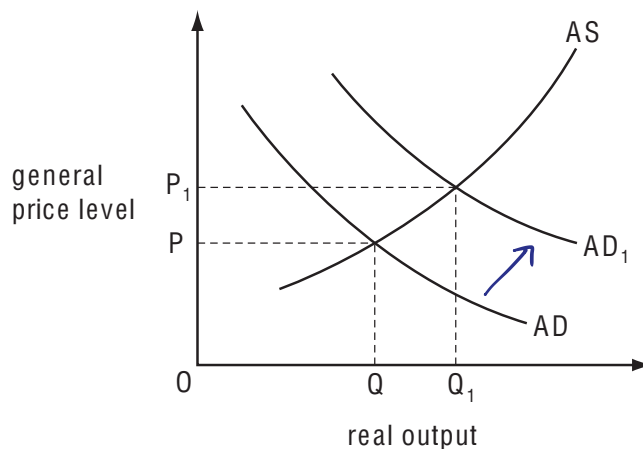
- A 90 million ☒ B 250 million C 470 million D 485 million

$$\text{Unemployment rate} = \frac{\text{Unemployed}}{\text{Labour force}} \times 100$$

$$6\% = \frac{15}{x} \times 100$$

$$x = 250 \text{ million}$$

- 24 The diagram illustrates what happens to aggregate demand (AD) and aggregate supply (AS) in an economy during a year.



What explains the rise in the general price level?

- ☒ A boom in consumer spending $C \uparrow AD \uparrow$
 B higher taxes on company profits $I \downarrow AD \downarrow$
 C reduction in government-financed projects $G \downarrow AD \downarrow$
 D rising costs of raw materials $AS \downarrow$

- 25 What would increase both AD and AS?

- A an appreciation of a country's currency leads to BOT deficit, $AD \downarrow$, $AS \downarrow$ (inelastic)
 B an increase in the cost of borrowing $AD \downarrow$
☒ C an increase in the level of its import tariffs Tariff, tax $\uparrow$, $M \text{ prices } \uparrow$, $\eta(TE) \downarrow$, $C \uparrow$, $AD \uparrow$
 D an increase in the price of oil cost $\uparrow$, $AS \downarrow$
 ↳ if exported, then $X(TE) \downarrow$, $AD \downarrow$
 inelastic demand, cost $\uparrow$, $AS \downarrow$

- 26 A UK resident buys shares in a Spanish company. (Immediate and subsequent effect)

What will be the immediate and subsequent effects on the UK's balance of payments?

	immediate effect on financial account	subsequent effect on current account
A	credit	credit ✓
B	credit	debit
☒ C	debit ✓	credit ✓
D	debit ✓	debit

money going out

dividends received ahead

financial account

current account

e.g. Inflows, (credit Bank xx receivable xx)

- 27 The table gives details of some parts of a country's balance of payments.

$BoT = X(TR) - M(TE)$
In which year did the country have its largest trade deficit?

	value of exports of goods (\$m)		value of imports of goods (\$m)		value of net income and transfers (\$m)
A	3914	-	3005	= 909	+110
B	3950	-	4073	= -123	+80
C	4774	-	4781	= -7	-65
D	5226	-	5102	= 124	-101

ignore this
Question asks for trade, if we use this the answer will of current account

- 28 Country X trades with only two countries, the USA and Japan.

90 % of the country's trade is with the USA and 10 % is with Japan.

The original value of the trade-weighted exchange rate index is 100.

The value of country X's currency against the US\$ rises by 10%. The value of country X's currency against the Japanese yen rises by 50%.

What will be the value of country X's new trade-weighted exchange rate index?

- A 114 B 115 C 130 D 160

Interest rate and Exchange rate have a positive relationship

- 29 What is most likely to cause a rise in a country's exchange rate?

- A a fall in its direct taxes, Disposable income ↑, C ↑, M(TE) ↑, S ↑, Depreciate
B a fall in its export orders, X(TR) ↓, D ↓, Depreciate
C a rise in its interest rates, R ↑, FDI ↑, D ↑, Appreciate
D a rise in its imports, M(TE) ↑, S ↑, Depreciate

- 30 An economy has a high level of unemployment and a large balance of payments deficit on the current account.

What would be a suitable policy for the government to adopt?

- A decrease government spending G ↓, income ↓, AD ↓, Unemployment ↑
B devalue the currency
C increase direct taxation Tax ↑, Disposable income ↓, C ↓, AD ↓, Unemployment ↑
D increase interest rates R ↑, C ↓, I ↓, AD ↓, Unemployment ↑

Devaluation, X prices ↓, M prices ↑, BoT surplus, income ↑, AD ↑, employment ↑

Expenditure
Switching policy

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